CAPSTONE 2 · CODEBASICS LIVE AI PM COHORT 2

AtliQ Contract Risk Analyzer

A CEO signs every contract alone, from memory. This is the memory he never had.

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THE PROBLEM IN ONE SENTENCE

The contract in front of him never contains the thing he most needs to know: **whether it collides with something AtliQ has already signed.**

2 hrs
per contract. Six to eight for a complex one.

1 wk–1 mo
waiting in the queue before review starts.

$23,200
cost of one rushed signature, on a $92k deal.

0
written records of what AtliQ has promised.

AtliQ, and the man who signs

AtliQ is a data and AI consultancy. Clients hire it to build analytics, forecasting and revenue-management systems. Every engagement starts with a contract the client usually writes.

Two legal entities, one rule

AtliQ Inc (Delaware) serves clients in the United States. **AtliQ Technologies Pvt Ltd** (Pune) serves everywhere else.

Naming the wrong one changes which tax regime applies and which bank account gets paid. It has caused payment delays twice.

THE PERSONA

Karandeep, CEO

The only authorised signatory for client and partner contracts. No legal team. Reviews 3–4 contracts and 4–5 NDAs a month, usually after 10pm, between selling, hiring and running delivery.

Goal. Sign good deals fast without ever breaking a clause AtliQ has already agreed to.

Out of scope. HR signs employee and freelancer paper. This product touches client and partner contracts only.

How a contract gets reviewed today

All of it manual. Most of it after 10pm.

STEP 1

Open the draft

From email, a shared drive, or a laptop folder. A tracker row may or may not be created.

STEP 2

Work out the entity

Which AtliQ signs, which law applies. From a finance sheet, if he remembers it exists.

STEP 3 · VOTED

Recall what we promised

Searches his inbox, asks project leads. Finding one contract took 20 minutes during a live call with counsel.

STEP 4

Read it end to end

Penalties, liability, indemnity, IP, payment, termination. Against memory. No written checklist exists.

STEP 5

Sign, redline, escalate

Counsel costs ~$5,000 a year. Deliberate exceptions are agreed verbally and look identical to oversights.

Step 3 is the one the team dot-voted. It is the slowest, the least supported by any system, and the first thing skipped under deadline pressure. **Brightwater was signed from an airport gate with the words "Looks standard, signing now."**

What hurts, and what hurts without being noticed

PAIN HE CAN NAME

Review takes two hours, and six to eight for a complex contract.

Contracts wait a week to a month before he reaches them.

He is the bottleneck, and he knows it.

Outside counsel costs about $5,000 a year.

PAIN HE CANNOT SEE

A restriction can **outlive the contract that created it** by eighteen months.

A waiver he signed can look like permission while covering **nothing relevant**.

Past mistakes quietly become precedent. **Signed does not mean approved.**

The tracker has a column for restrictive clauses. **It is blank for every contract that has one.**

The client's own words

Two office-hour sessions and a Discord thread. Every design decision below traces to one of these.

"Afterwards. It was a mess, during the due diligence."

On when Brightwater's out-of-pattern liability cap was noticed.

→ The business case. A pattern check would have caught it in seconds.

"If an actual case is missed, then it is much more riskier... if it is a false alarm, it's okay."

On false positives versus misses.

→ Recall gates the launch. Precision does not.

"It's an excellent point... it eventually builds the confidence on the platform."

On showing restrictions that have already lapsed.

→ A "considered and cleared" section, not silence.

"It is Karan's preference. There is no fixed rule or no fixed philosophy."

On whether the 1x liability cap is policy.

→ The playbook is labelled inferred, never policy.

Office hours, Aakash Pardeshi, 7 and 10 Oct 2026. Discord, Karandeep Singh Grover, 8 Oct 2026.

THE MISSING THING WAS DATA, NOT A TOOL

The commitments register

Asked in a team meeting whether a list existed of what AtliQ had agreed *not* to do, the minutes record silence. So the first deliverable is not software. It is the record itself: every promise AtliQ has made, read out of its own signed contracts.

What one entry holds

Counterparty · type of restriction · what it covers · territory · whether it binds AtliQ's subsidiaries · the source file · the clause number · **and the clause quoted word for word**

No entry exists without a file, a clause reference and a verbatim quote.

Two dates, not one

When the **contract** ends, and when the **obligation** ends. These are different dates, and the gap between them is where the danger lives.

Survival periods in AtliQ's contracts run from three years to indefinite.

What it found

13

commitments across 17 signed contracts. Twelve still binding. **Three of them sit directly across live deals in the current queue.**

Two things reading the archive taught us

Neither was in any brief. Both changed the product.

1 — THE TAIL

A restriction can outlive its own contract

Al Noor's agreement **expires 14 March 2028**.

Its GCC non-compete **runs to 14 September 2029** — eighteen months longer.

A system keyed on the contract end date would clear a blocked deal for a year and a half. Liveness is computed on the obligation date, and the survival period is read from the clause, never assumed.

2 — THE WAIVER

Permission for one deal is not permission

Al Noor waived the restriction once, in writing, for **Seaside Hotels in Oman**.

"It does not extend to… any other Hospitality Business, whether in the Sultanate of Oman or elsewhere in the GCC."

A naive tool sees "waiver exists" and clears a $140,000 breach. The register models waivers as scoped objects and tests whether *this* engagement falls inside their express terms.

Sources: al_noor_hospitality_msa.md cl. 1.14 and 6.1 · al_noor_waiver_letter.md paras 2–3

THE SOLUTION

Two records AtliQ never had, and five checks on top

BUILT ONCE, FROM THE ARCHIVE

Commitments register

Every promise AtliQ has made, cited, with both its dates and any waiver that narrows it.

Derived playbook

How AtliQ actually negotiates, read from 12 signed contracts. Liability capped at 1× fees in 9 of them. Labelled the CEO's preference, not policy.

RUN ON EVERY INCOMING DRAFT

#	Check	How it runs
1	Collisions with past commitments, waiver scope included	Retrieval + reasoning
2	Is the restriction still binding today?	Date logic
3	Risk terms against contract value	Arithmetic
4	Signing entity vs governing law vs invoicing	Lookup
5	Document bundle complete for this deal type	Rules

Out comes a one-page triage brief in under five minutes: a three-line verdict, every finding ordered by consequence with its clause quoted, and a list of what was checked and ruled out.

THE DECISION I WOULD DEFEND HARDEST

Three of the five checks use no model at all.

Entity vs governing law

A lookup against the finance fact sheet. US client, AtliQ Inc. Everywhere else, Pvt Ltd.

Proportionality

Division. Liability cap over contract value, with the denominator read from the clause.

Bundle completeness

A rule table. US healthcare needs a BAA. EU personal data needs a DPA.

Session 2's rule was to reach for the least intelligent, least expensive technique that works. A model would do all three — worse, slower, and without a guarantee. **Showing where I refused to use AI is a stronger argument than showing where I used it.**

End to end, in under five minutes

INPUT

Draft arrives as PDF or DOCX. Reviewer confirms counterparty, deal type, value, and ticks which companion documents came with it.

READ

Facts extracted. Counterparty, country, sector, entity named, governing law, contract value, liability cap, whether regulated data is involved.

CHECK

Rules run first. Then the register is queried, each hit tested for whether it is **still live** and whether a **waiver actually covers this deal**.

VERIFY

Every quote is matched **word for word** against its source file. A finding that fails is dropped and logged.

DECIDE

Brief rendered. **A human reads it and decides.** Sign, redline or escalate. Exceptions recorded with a reason.

On signature, the register re-runs so the new contract's own commitments are captured. The loop closes.

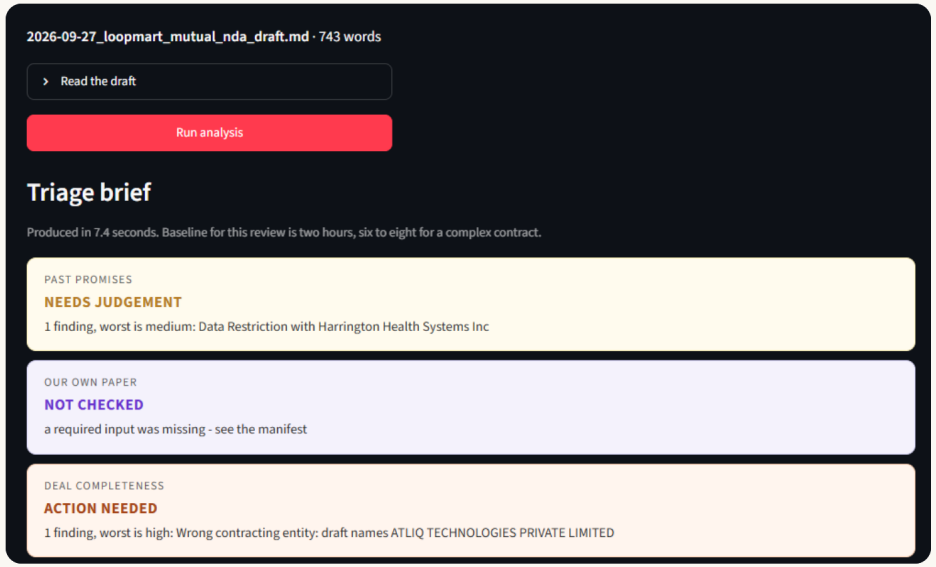
A renegotiated draft comes back through the whole flow, not a diff. The client was explicit: you cannot let go of any review cycle.

The system writes nothing and signs nothing. It produces a document.

The brief, and what using it changed

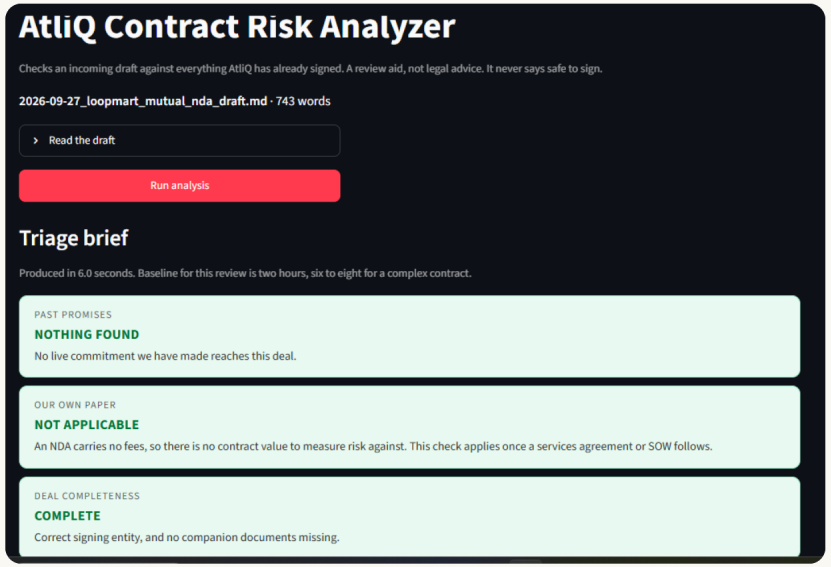
Both screenshots are the working prototype, same contract, two days apart.

BEFORE — THREE PROBLEMS



"worst is medium" — severity jargon a CEO does not think in.
"a required input was missing" — useless without saying which.
Wrong entity flagged — a false positive on a correct contract.

AFTER — ALL THREE FIXED



Verdicts in plain words. **"Not applicable"** separated from **"couldn't check"**, each with a reason. The entity false positive traced to a name-variant bug and fixed.

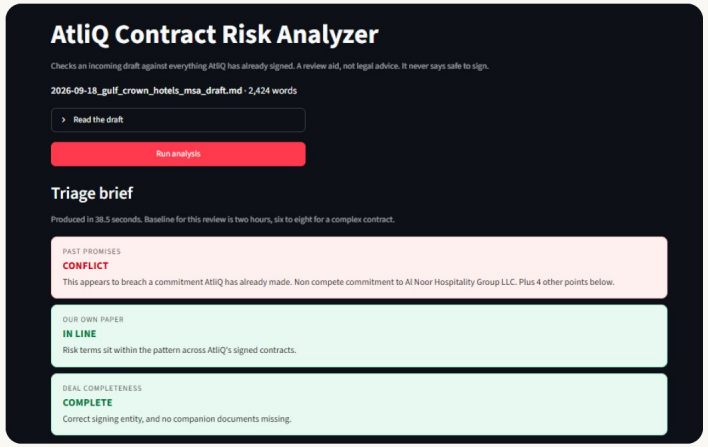
> My eval suite passed 12 of 12 while that false positive was live. The fixtures used the entity's short name; a real contract spells it in full. **An eval set only tests what you thought to test.**

Streamlit prototype, LoopMart mutual NDA, run locally against the live register.

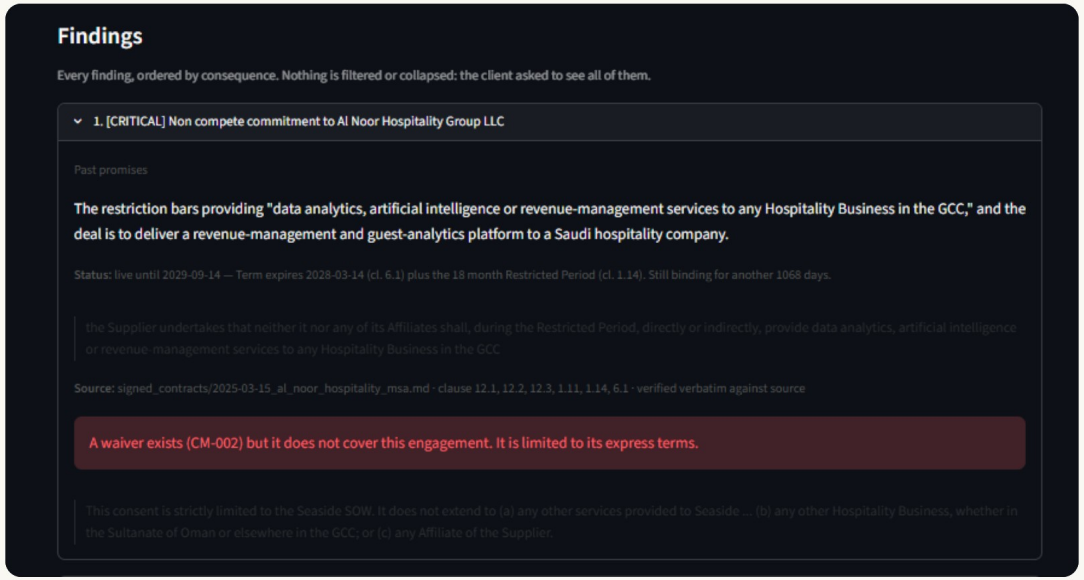
WORKED EXAMPLE · LIVE OUTPUT, NOT A MOCKUP

Gulf Crown Hotels — a clean-looking $140,000 contract

2,424 words read
Brief produced in **38.5 seconds**
Human baseline: two hours



Nothing in this document looks wrong. The paper is clean, the price is good, the entity and the bundle are correct — **and it would still have been a breach.**



Karandeep now decides: renegotiate the scope, ask Al Noor for a written waiver, or walk away. **The system does not decide. It makes the decision possible.**

The tail, computed. "Term expires 2028-03-14 plus the 18 month Restricted Period. Still binding for another 1,068 days."

The citation, checked. Six clauses named, and the quote marked verified verbatim against its source file.

The waiver, scoped. "A waiver exists (CM-002) but it does not cover this engagement."

incoming/2026-09-18_gulf_crown_hotels_msa_draft.md · register entries CM-001 and CM-002 · run 12 Oct 2026

Some deals are not legal with one document alone

The main contract can be perfect and the deal still be in breach, because a second document is missing.

When	What must also exist	If it is missing	In the dataset
US healthcare	Mutual NDA, a signed BAA, and the services agreement	HIPAA breach from the moment AtliQ touches a patient record	Harrington: BAA still a draft
EU personal data	A DPA between controller and processor	GDPR Article 28 is not satisfied	Rheinwerk: Annex 3 not attached
Subcontractor on regulated data	The same obligations flowed down to the subcontractor	AtliQ stays liable for a breach it cannot see	Kriti Data Labs: no flow-down

THE FIRST DESIGN — WRONG

A dropdown of six document types, and the reviewer ticks which apply.

It asks the user to already know contract law. If the product manager building it cannot say when a BAA is required, a CEO at 11pm certainly cannot.

→

THE FIX — THE SYSTEM KNOWS

It already extracts the country, the sector and whether regulated data is involved. So it works out what *this* deal requires and says so.

"This looks like a US healthcare engagement. HIPAA requires a signed BAA before a vendor touches patient data. Which of these three arrived?"

> The burden moved from the user's knowledge to the system's. That is the whole job: **a tool that asks you what you do not know is a tool dodging its own work.**

Karandeep, 8 Oct: "If there's a healthcare project, I would want to sign BAA for my freelancers as well."

Guardrails, written as code rather than intentions

Each one is a line in the repository, not a paragraph in a document.

Cite or be cut

Every quote is matched word for word against its source file before the brief renders. A finding that fails is dropped and logged.

engine/checks.py · verify_citations

Nothing is suppressed

Every finding appears, ordered by consequence. Ordering is the mitigation for alert fatigue, not filtering. The client asked to see all of them.

Client-stated, 7 Oct

Uncertainty is stated

Anything the system cannot resolve is marked "needs human judgement" with a disclaimer, rather than asserted flatly or quietly dropped.

Behaviour state 2

Never says safe to sign

No write actions in any version. No e-signature integration, ever. Even a human reviewer cannot be delegated the signature.

Tested by eval E-12

Lapsed restrictions are shown

Under "considered and cleared", with the date they expired. Seeing what was ruled out is what builds trust in the tool.

Client-requested, 10 Oct

PHI never leaves

Masked before any model call. The Harrington BAA bars processing outside the United States entirely.

Kill-switch condition

Is it fit to launch?

Eval criteria decide whether it ships. Success metrics measure what happens after. Two layers of testing, because the system has two kinds of behaviour.

LAYER 1 — DETERMINISTIC

Three checks are ordinary software

Dates, arithmetic and a lookup table have exact right answers, so they are tested the ordinary way: a fixed input and a fixed expected result.

15 contracts in the queue, each with a documented expected outcome, plus **8 negative tests** — wrong file attached, date rolled past an expiry, API key removed.

LAYER 2 — PROBABILISTIC

Two checks cannot be tested that way

Reading a contract and judging whether a clause reaches a deal are judgements. There is no single correct string to assert against.

They are held to **thresholds on a fixed evaluation set** instead. Recall gates the launch; precision does not, because the client said a miss costs far more than a false alarm.

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automated cases pass. Six are launch blockers. **Gate: open.**

Found by use, not by tests

A false positive on a correct contract survived a **12 of 12 green suite**, because the fixtures used a short company name and real contracts use the full legal one.

> Mixing those two kinds of testing is the most common mistake in AI products. **An eval set only tests what you thought to test** — it is a floor, not a substitute for opening the product and looking at real output.

evals/run_evals.py runs without an API key, so the scorecard is reproducible by anyone grading this. Full matrix in the Test Strategy document.

THE COSTING CHANGED THE ENGINEERING BRIEF

Sixty cents a month separates the cheapest model from the most expensive

Running cost

Inference, 14 analyses a month
$0.22

The same work on the priciest tier
$0.83

Total annual run cost
$243

Against today

Current annual cost of review
$15,650

Gross annual saving
$7,527

CEO hours returned per year
155

What this actually means

At this volume, token cost cannot be a design constraint. **The binding constraint is accuracy.**

One missed collision costs more than a decade of inference. That is precisely why recall gates the launch and budget does not.

Counsel reduction is modelled at **zero**. It probably falls, but nobody has measured it, so claiming it would weaken the case.

One avoided Brightwater is **$23,200** — about 95× the annual run cost. Shown separately, kept out of the return.

Session 9 structure: Inference, Embeddings, Cost Savings, plus an Assumptions and Sensitivity tab. Four inputs are flagged as assumptions.

How we would know it worked — and what is still open

Layer	Measure	Target
North Star	Review time per contract	2 hrs → under 5 min
Output	Contracts waiting over 3 working days	Zero
Trust	Share of findings acted on, not dismissed	Above 60%
Guardrail	Live collisions reaching signature	Zero. One miss trips the kill switch.
Business	Counsel spend and avoided loss	Against the $5,000 baseline

The 60% is mine, not the client's. There is no baseline for it. It is a starting threshold to calibrate in beta, and I would say so rather than defend the number.

Open questions, carried not hidden

NDA review time. Asked on 10 Oct, not answered. Modelled as a flagged assumption with a sensitivity range.

The proportionality boundary. One worked example from the client, no threshold. Bands are the product team's proposal.

Six missing contract files. Counterparties in the tracker with no document, so their commitments are invisible to the register.

Review cycles per contract. Renegotiated drafts are re-read in full, but nobody has counted how often.

Limits. English only. Client and partner contracts only. No government paper. Gulf Crown's Arabic-prevails clause is a known gap.

Unverified. The model path runs on the developer machine only; it has not been load-tested, and no real user has used it yet.

Every assumption in the cost model is labelled C (client), D (dataset) or A (assumption). Four are A.

IN ONE MINUTE

AtliQ's CEO signs every contract from memory. We built the memory, then the check that uses it.

THE PROBLEM

No record existed of what AtliQ had already promised. Three live deals in the queue each carry an unflagged collision.

THE BUILD

A cited commitments register carrying two dates and its waivers, plus five checks. Three of the five use no model at all.

THE PROOF

13 of 13 evals pass, six of them launch blockers. Every quote verified against its source before it reaches the page.

THE LINE

It never signs, never approves, and never says safe to sign. A human decides, and only Karandeep signs.

Two hours of CEO time, after 10pm, replaced by one page he can read in fifteen seconds — **with every claim traceable to a clause.**

Pancham Lohumi
12 October 2026